Through the five years I was at the Reserve Bank, I had accumulated my share of mistakes, both on policy and the communication of that policy—more than my share maybe, according to some critics. Viewed from a cosmic perspective, communication mistakes are, in general, less egregious than policy mistakes, as their impact on the markets would typically be transient and the long-term economic damage quite minimal. Even so, ironically, it was my communication mistakes that weighed me down more than my policy mistakes. Might it be that I thought they were avoidable or that they damaged my personal credibility much more, at any rate in the short-term? As I write this two years after I have left the Reserve Bank, I am still unable to be objective about this assessment.

It is some comfort though that virtually every central bank governor has his or her share of communication mistakes or gaffes. Some are more publicized than others. The most recent example, as I write this, comes from Mario Draghi, the president of the ECB who, despite a formidable reputation for his savvy communication skills, seems to have fallen short in anticipating the market reaction to what he said in a post-policy media conference in December 2015. In the backdrop of the stalling eurozone economy at that time, the market expectation was that the ECB would top up its ongoing quantitative easing by a weighty stimulus. The ECB did come up with some easing but the market shrugged it off as too feeble. What riled the markets even more was the statement by Draghi in the press conference that what was done was ‘adequate’. The markets reacted sharply to these dashed hopes of stronger monetary stimulus with a wave of selling that rippled from Frankfurt to Paris, to Madrid and Milan. Draghi corrected for this by asserting just a few days later that ‘there is no particular limit to how we can deploy all our tools’. The *Wall Street Journal* wrote: ‘Mr. Draghi’s comments were an attempt to fight the market’s reaction to the policy meeting. The content of the speech is not enough to reverse yesterday’s “own goal” but it does represent something of a pushback against tightening monetary conditions.’

In his book, *The Courage to Act*, Bernanke admits to some communication mistakes as he was traversing up the learning curve. He